Wealth Management Investment Strategy

February 2026 – *Executive Summary*

IDFC FIRST Bank

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FY27 Union Budget: Optimizing Growth With Fiscal Prudence

KEY TAKEAWAY

- ***Union Budget 2026-27 has attempted to balance the need to support India's economy amid the uncertain global backdrop and toe the line in terms of its commitment to fiscal consolidation.***
- ***The Budget announcements revolve around manufacturing in India, providing support to MSMEs, infrastructure, agriculture, skilling the youth, and supporting women entrepreneurship.***
- ***These measures align well with the long-term goal of Atmanirbhar Bharat and should provide some resilience to our economy to shocks on the external front***
- ***Budget Size estimated at ₹53.47tn, up by ~7.7% vs. FY26RE. Nominal GDP growth seen at 10.0% in FY27.***
- ***Fiscal deficit estimated at 4.3% of GDP in FY27BE, marginally lower from 4.4% in FY26RE.***

India Macro Update - *Tracking Key Macro Factors*

Brent Crude

Crude oil prices surged ~17% in January on concerns over supply due to rising tensions between the US and Venezuela, and US and Iran. Also, a larger-than-expected decline in US crude inventories and supply disruptions to Iranian crude exports supported prices.

Currency

The INR depreciated ~2.4% MoM vs the USD in January (DXY fell by 1.35%) weighed down by persistent FPI outflows amid uncertainty around the long-awaited US-India trade deal.

Commodities

Gold and silver gained sharply in January amid a flare-up in geopolitical tensions. They did see a sharp bout of selling at the end of the month following the nomination of Kevin Warsh as the next Fed Chair.

Manufacturing & Services PMI

The HSBC India Manufacturing PMI printed at 55.4 in Jan'26 vs 55.0 in Dec'25 amid a rise in new orders driven by domestic demand. The HSBC India Services PMI came in at 58.5 in Jan'26 vs 58.0 in Dec'25 amid faster growth in output and new business.

GST Collections

Gross GST collections rose 6.2% YoY in January 2026 to a 3-month high of INR1.93tn, while net collections rose 7.6% to INR1.71tn. Growth was supported by strong domestic activity and healthy growth in import revenues.

Bank Deposit & Credit Growth

Bank deposits rose 10.6% YoY, while credit growth rose by 13.1% in the fortnight ending 15th Jan 26. Healthy credit growth was aided by GST rationalization on products and services, rate cuts and a pick-up in wholesale credit demand.

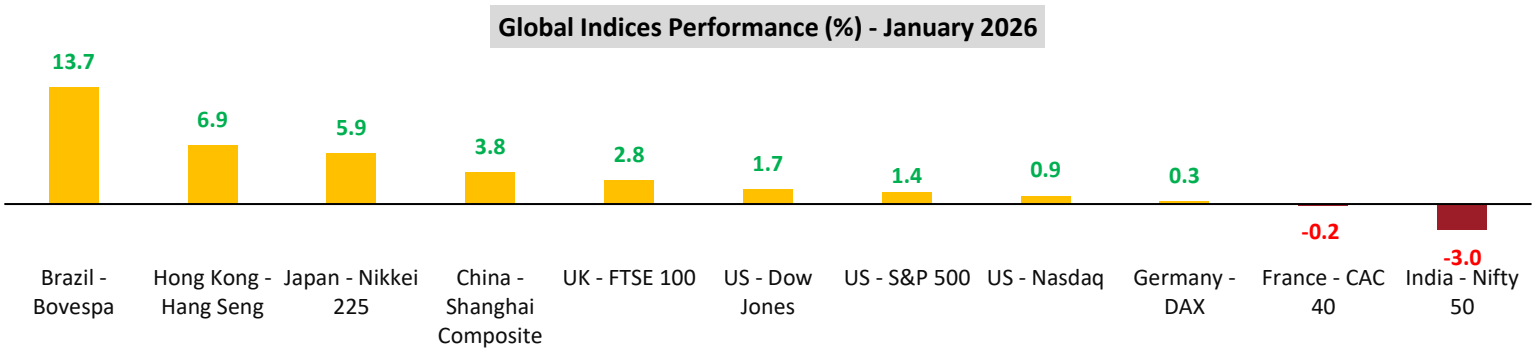
Auto Sales

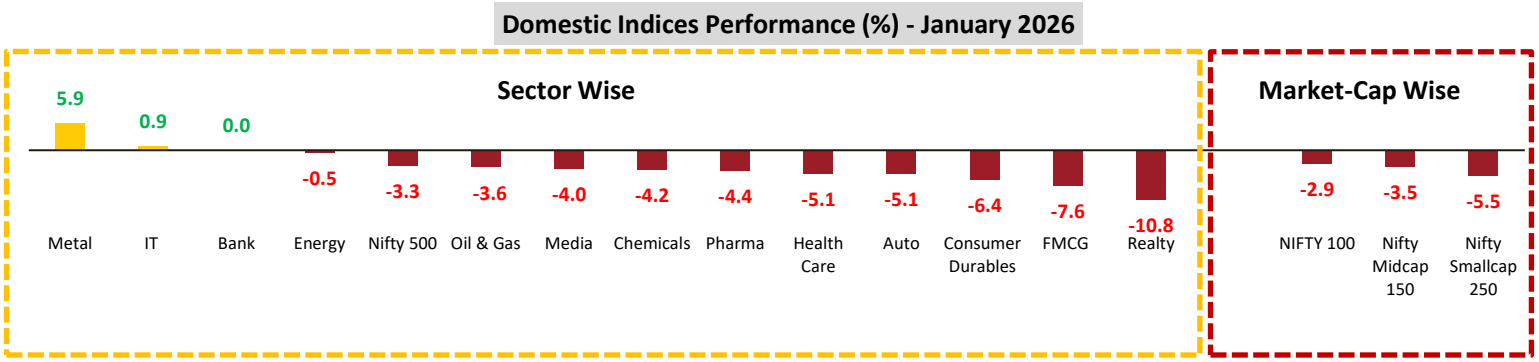
Auto sales ended the year strong in December growing 14.63% YoY. The month benefited from the continued positive sentiment post GST 2.0, year-end offers, and a fair amount of pre-buying ahead of expected price revisions in the new year.

Outlook – *(Source - IDFC FIRST Bank Economics Research, As On 6th February 2026)*

- **FY26 real GDP growth revised upwards to 7.6% (even without a trade deal) incorporating higher Q2 print & growth momentum supported by GST rate cuts. FY27 GDP growth expected at 7%, led by consumption growth & recovery in private capex.**
- **FY26 CPI inflation is tracking at 2% while that for FY27 at 4%.**
- **We expect RBI to stay on prolonged pause.**
- **Currency - The announcement of the US India deal will ease depreciation pressures in the near-term**

Equity Market Update





Performance shown above is based on total returns for respective sectoral indices of the NSE. Data as on 31st January 2026, Source: ACE MF

- **Frontline Indices** – Indian equities began CY2026 on a sombre note, weighed down by concerns over the long-awaited trade deal with the US, persistent geopolitical tensions, tepid corporate earnings and uncertainty over the Union Budget 2026-27. All market-cap segments ended the month in the red, with small-cap segment being the worst performer during the month.
- **Metals** – Metal stocks outperformed in January 2026 driven by rising demand for real / physical assets amid persistent geopolitical tensions, and weakness in the dollar index.
- **IT** – IT sector ended the month in the green on expectations of improving demand outlook, a weaker rupee and supported by its defensive appeal amid tepid sentiment.

- **Realty** – Realty sector witnessed a sharp sell-off amid concerns over slowing housing sales, affordability, high valuations and uncertainty over potential support from the Union Budget.

Equity Outlook –

We try to understand equity markets based on following three important pillars:

Valuations

Neutral

- Nifty's 12-month forward PE is at 20.16x vs current PE of 22.38x. Nifty Midcap 150's 12-month forward PE is at 27.84x vs current PE of 32.76x, Nifty Smallcap 250's 12-month forward PE is at 24.74x vs current PE of 26.71x (As on 4th February 2025).
- **From a Valuation perspective – Large caps look most attractive, followed by small caps & then midcaps.**

Earnings

Neutral

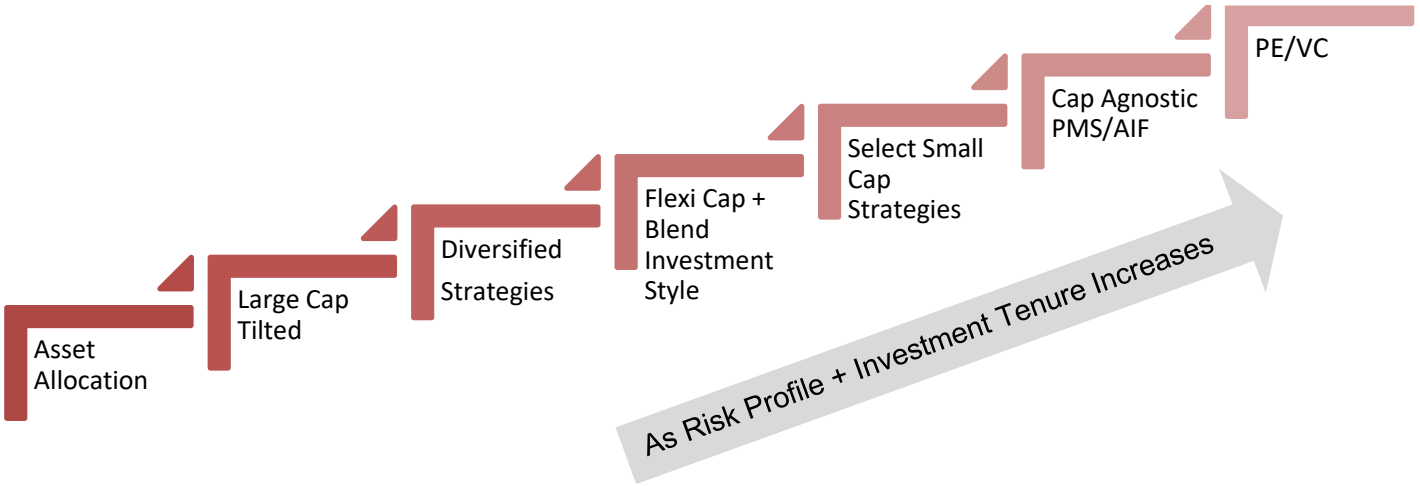
- Despite the near-term challenges and uncertain macro environment, the medium-to-long term growth outlook for India seems intact, which should support earnings growth.
- **Nifty 50 earnings growth^ is expected to clock close to ~8% growth (consensus expectations) in FY26, and ~15-17% CAGR over FY26-28.**

Volatility

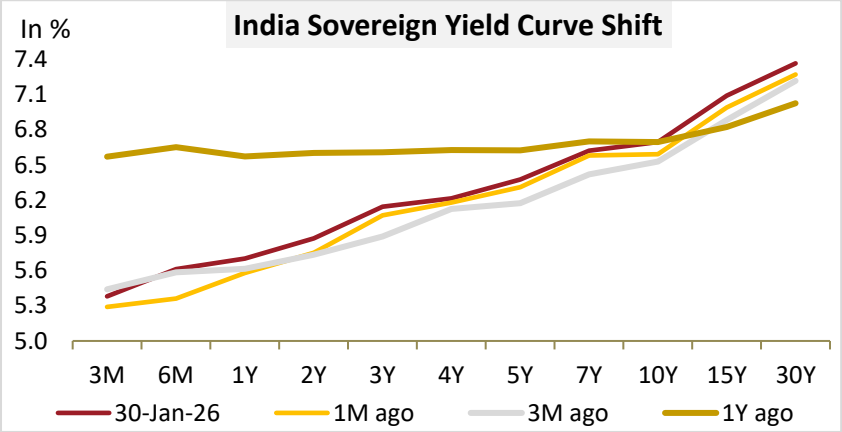
Neutral

- Nifty VIX ended at 13.63 (as on 30th January 2026) vs 9.48 (as on 31st December 2025).
- **Domestic and global macros, geopolitics, crude oil prices and global yields to drive the volatility index going ahead.**

Equity Investment Strategy



Debt Market Update



Global Bond yields (%)	30-Jan-26	1M ago	1Y Ago
US 10 – Year	4.24	4.17	4.54
UK 10 – Year	4.52	4.48	4.54
Germany 10 – Year	2.84	2.85	2.46
Japan 10 - Year	2.24	2.06	1.24
India 10 – Year	6.70	6.59	6.69

Data as on 30th January 2026, Source- Investing.com

- **Indian 10Y benchmark yield** hardened in January on concerns over higher supply in weekly auctions and potential higher borrowing in the Union Budget. Postponed inclusion in Bloomberg Global Aggregate Index too weighed on bond prices.
- **U.S. Treasury yields:** The US 10Y yield rose by ~7bps in January amid concerns over the Fed's independence following a criminal investigation into the Fed chair over renovation of the Fed's headquarters. Concerns over a flare up in US tensions with Venezuela and Iran further weighed on bond prices. The Fed maintained status quo on rates with target funds range at 3.5-3.75%.
- **Euro zone:** German 10Y yield ended on a broadly flattish note in January, while UK 10Y yield inched up by ~4bps MoM amid elevated inflation and tracking the rise in US treasury yields.
- **Japanese 10Y yields** ended higher MoM by ~18 bps on concerns over prime minister, Sanae Takaichi's tax and spending pledges ahead of the snap elections in February. The BoJ held its short-term interest rate unchanged at 0.75% and indicated further hikes based on incoming data.

Debt Outlook –

We try to understand debt markets based on the following three important pillars:

Interest Rate

Neutral

- **While CPI inflation prints for FY26 and FY27 indicate space to ease rates, from a real rates perspective the space to ease policy rates is limited. Also, monetary policy settings remain growth supportive.**
- **10-Yr G-sec yield is expected to range between to 6.70% to 6.85%. Upward pressure on yields reflects higher supply in FY27 (G-sec plus SDLs) and tepid demand. We expect support in the form of OMO purchases to continue.**

Liquidity

Neutral

Banking system liquidity has been comfortable during November supported by the phased CRR cut. While core liquidity has been in surplus, it has dipped to a surplus of ~INR4.6tn (as of 23rd January 2026) v/s recent peak of INR6tn (as of 23rd May 2025).

- **Depreciation pressures on the INR and consequent RBI intervention in FX markets has led to a substantial drain in liquidity. There would be further drain on liquidity amid currency leakage and drain from RBI's FX operations. Hence, we expect durable liquidity infusion of INR1tn via OMO purchases in Feb-Mar'26 and INR5tn in FY27.**

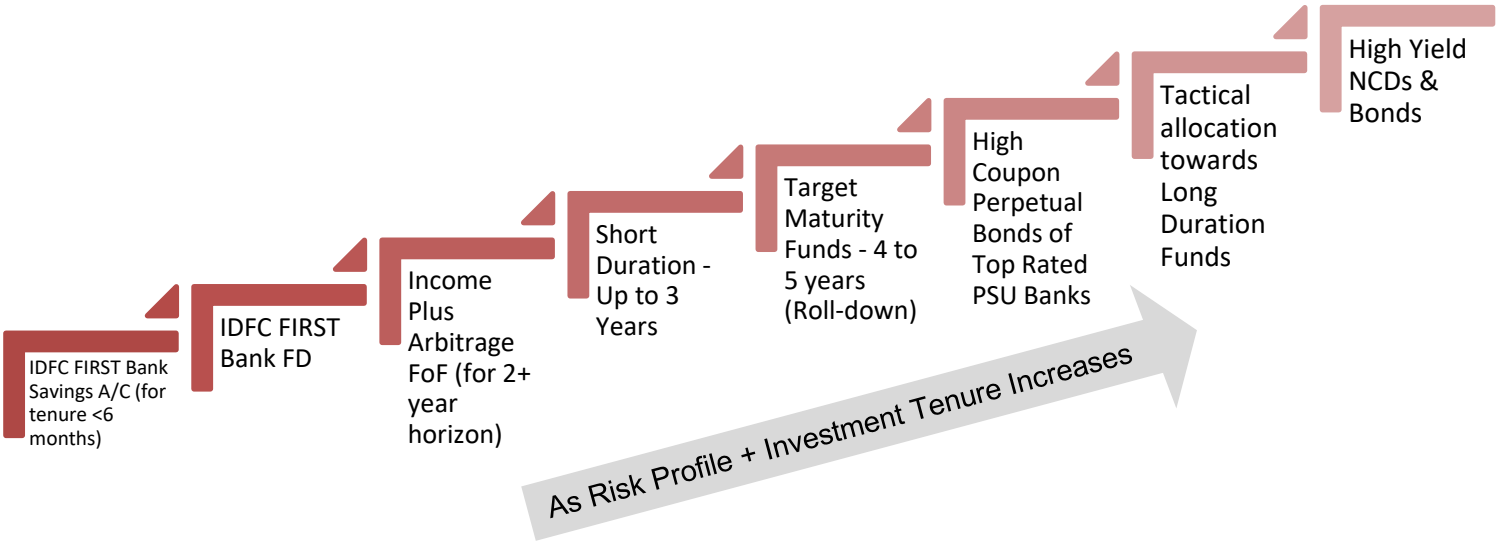
Credit Risk

Neutral

- **Spreads on offer versus additional risk taken are modest –** risk-reward doesn't favour taking credit risk via low rated category as a whole. However, selective buying can be rewarding.
- **Markets are illiquid in low rated segment,** look at company specific opportunity.

(Source - IDFC FIRST Bank Economics Research, As On 4th February 2026)

Debt Investment Strategy



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